(i) Debt equity ratio
(ii) Proprietary ratio
(iii) Capital gearing ratio

(i) Debt equity ratio

Debt equity ratio is calculated to assess the long term solvency position of a business concern. Debt equity ratio expresses the relationship between long term debt and shareholders' funds. It is computed as follows:

$$\text{Debt equity ratio} = \frac{\text{Long term debt}}{\text{Shareholders' funds}}$$

Long term debt	Shareholders' funds
Long term debt includes debentures, bonds, long term loans and other long term borrowings.	Shareholders' funds = Equity share capital + Preference share capital + Reserves and surplus



- Debit balance in the statement of profit and loss is shown as a negative figure under the head Reserves and surplus.
- Shareholders' funds can also be computed as follows:

Shareholders' funds = Total assets – Non current liabilities – Current liabilities

In general, lower the debt equity ratio, lower is the risk to the long-term lenders. A high ratio indicates high risk as it may be difficult for the business concern to meet the obligation to outsiders.



In general, a debt equity ratio of 1:1 may be considered satisfactory. However, it is subject to change from business to business and industry to industry.

Illustration 4

From the following information, calculate debt equity ratio:

Balance sheet (Extract) as on 31.03.2018

Particulars	₹
I EQUITY AND LIABILITIES	
1. Shareholders' funds	
(a) Share capital	
Equity share capital	1,00,000
(b) Reserves and surplus	60,000
2. Non-current liabilities	
Long-term borrowings (Debentures)	80,000
3. Current liabilities	
(a) Trade payables	50,000
(b) Other current liabilities	
Outstanding expenses	30,000
Total	**3,20,000**

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